Note 14. Income Taxes

Income tax expense (benefit) for the years ended December 31 consists of the following components:

	2022			2021			2020		
	Current	Deferred	Total	Current	Deferred	Total	Current	Deferred	Total
Federal	$ 8,457	$ (4,713)	$ 3,744	$ 11,315	$ (583)	$ 10,732	$ 5,285	$ 3,642	$ 8,927
State and Local	2,815	(1,291)	1,524	4,210	(637)	3,573	1,930	1,100	3,030
Foreign	83	(502)	(419)	-	(265)	(265)	-	-	-
Total	$ 11,355	$ (6,506)	$ 4,849	$ 15,525	$ (1,485)	$ 14,040	$ 7,215	$ 4,742	$ 11,957

Deferred tax assets and liabilities consists of:

	December 31, 2022		December 31, 2021	
	Assets	Liabilities	Assets	Liabilities
Inventory	$ 1,384	$ -	$ 2,096	$ 2
Property, plant, and equipment	-	2,856	-	3,259
Goodwill and other intangible assets	-	2,812	-	8,573
Foreign NOL carryforward	561	-	265	-
State NOL carryforward	2,483	-	2,421	-
Unrealized loss on investments	5,168	-	1,322	-
Leases	3,544	3,222	4,150	3,826
Original issue discount	1,604	-	2,720	-
Other	8,614	2,963	9,003	2,305
Gross deferred income taxes	23,358	11,853	21,977	17,965
Valuation allowance	(3,062)	-	(2,649)	-
Net deferred income taxes	$ 20,296	$ 11,853	$ 19,328	$ 17,965

At December 31, 2022, the Company had state net operating loss (“NOL”) carryforwards for income tax purposes of approximately $30.7 million, which expire between 2034 and 2042, $24.0 million of which has an indefinite carryforward period. The Company has determined that, at December 31, 2022 and 2021, its ability to realize future benefits of its state NOL carryforwards does not meet the “more likely than not” criteria in ASC 740, Income Taxes. Therefore, a valuation allowance for state NOL carryforwards of $2.4 million and $2.6 million has been recorded at December 2022 and 2021, respectively.

ASC 740-10-25 prescribes a recognition threshold and measurement attribute for the financial statement recognition and measurement of a tax position taken or expected to be taken in a tax return. For those benefits to be recognized, a tax position must be more-likely-than-not to be sustained upon examination by taxing authorities. The amount recognized is measured as the largest amount of benefit that is greater than 50 percent likely of being realized upon ultimate settlement. The Company has determined that they did not have any uncertain tax positions requiring recognition as a result of the provisions of ASC 740-10-25. The Company’s policy is to recognize interest and penalties accrued on uncertain tax positions as part of interest expense. For the years ended December 31, 2022, 2021, and 2020, no estimated interest or penalties were recognized for the uncertainty of tax positions taken. The Company files income tax returns in the U.S. federal jurisdiction and various state jurisdictions. In general, the Company is no longer subject to U.S. federal and state tax examinations for years prior to 2019.

Reconciliation of the federal statutory rate and the effective income tax rate for the years ended December 31 is as follows:

	2022	2021	2020
Federal statutory rate	21.0%	21.0%	21.0%
Foreign rate differential	-0.5%	-0.1%	0.0%
State taxes	5.7%	3.4%	2.9%
Permanent differences	-0.2%	-4.1%	-1.6%
Other	1.7%	0.7%	4.7%
Valuation allowance	2.6%	0.6%	-3.2%
Effective income tax rate	30.3%	21.5%	23.8%

The permanent differences for the year ended December 31, 2022 are not significant in the aggregate. The permanent difference for the year December 31, 2021 are primarily related to income tax benefits of $7.5 million ($1.6 million tax effected) as a result of the forgiveness of the $7.5 million unsecured loan and $7.2 million ($1.5 million tax effected) as a result of stock option exercises. The permanent differences for the years ended December 31, 2020 are primarily related to income tax benefits of $3.3 million ($0.7 million tax effected) as a result of stock option exercises.